Uniform Residential Appraisal Report

123 FALLING TREE CT, TREEVILLE, VA 12345

SUMMARY

Opinion of Market Value	$491,000	**Market Value Condition**	Subject to Repair

Final Value Condition Statement This appraisal is made subject to the itemized list of repairs recommended below on the basis of a hypothetical condition that the repairs or alterations have been completed in a professional manner. This might have affected the assignment results.

Effective Date of Appraisal	09/20/2019	**Property Valuation Method**	Traditional Appraisal
Assignment Reason	Purchase	**Appraiser Name**	Agatha Appraiser
Borrower Name	Betty Borrower		
	Bob Borrower		
Current Owner of Public Record	Jane Doe		
Contract Price	$489,000		
Listing Status	Pending		

Property Description

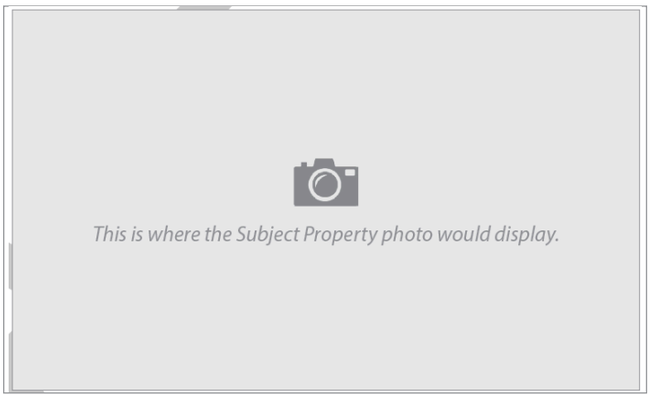
Construction Method	Site Built	**Overall Quality**	Q4
Attachment Type	Detached	**Overall Condition**	C4

	Yes	No
Planned Unit Development (PUD)	☑	☐
Condominium	☐	☑
Cooperative	☐	☑
Condop	☐	☑
Subject Site Owned in Common	☐	☑

Units Excluding ADUs	1
Accessory Dwelling Units	0
Property Rights Appraised	Fee Simple

	Yes	No
Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use?	☑	☐

Zoning Compliance	Legal



Apparent Defects, Damages, Deficiencies Requiring Action

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action	Estimated Cost to Repair
Dwelling Exterior					
Roof	Section of Roof	Roof is significantly worn and has damaged flashing, but no apparent active leaks.	Yes	Repair	$1,500
				Total Cost	**$1,500**

As Is Overall Condition Rating	C5

Existing condition of the property as of the effective date of this appraisal, excluding all required repairs, alterations, or inspections

Assignment Information

Assignment Reason	Purchase
Borrower Name	Betty Borrower Bob Borrower
Seller Name	Jane Doe
Current Owner of Public Record	Jane Doe

Property Valuation Method	Traditional Appraisal

	Yes	No
Was a Property Data Report used in lieu of an Inspection?	☐	☑

Contact Information

Client/Lender

Company Name	DEF Bank
Company Address	200 Elm St Anytown, VA 12346

Appraisal Management Company

Company Name	XYZ Appraisal Management Company
Company Address	300 Maple Ave Anytown, VA 12345

Appraiser

Name	Agatha Appraiser
Designation	SRA
Company Name	ABC Appraisal Co.
Company Address	123 Main St Anytown, VA 12345

Credentials

Level	Certified Residential
ID	XYZ12345
State	VA
Expires	10/10/2020

Scope of Inspection by Appraiser

Subject Property Inspection

Exterior	Physical
Interior	Physical

Significant Real Property Appraisal Assistance

Name	Andrew Appraiser

Credentials

Level	None

Description Andrew Appraiser, a trainee appraiser, filled out the Market section, provided the Market Analysis, assisted in measuring property, and did an exterior inspection of the comparables from the street.

Subject Property

Physical Address	123 Falling Tree Ct Treeville, VA 12345
County	Arboreal
Neighborhood Name	Sunnyside

	Yes	No
Planned Unit Development (PUD)	☑	☐
Condominium	☐	☑
Cooperative	☐	☑
Condop	☐	☑
Property on Native American Lands	☐	☑
Subject Site Owned in Common	☐	☑
Homeowner Responsible for all Exterior Maintenance of Dwelling(s)	☑	☐
New Construction	☐	☑

Attachment Type	Detached
Units Excluding ADUs	1
Accessory Dwelling Units	0
Dwellings Containing Units	1
Special Tax Assessments	No

Ownership Rights

Property Rights Appraised	Fee Simple

All Rights Included in Appraisal	Yes

Subject Property *(continued)*

Legal Description

Lot 53 Sunnyside Subdivision

Site

Total Site Size	14,950 Sq. Ft.	**Number of Parcels**	1

Assessor Parcel Number (APN)	APN Description	Parcel Size
1234-56-7891-000	Land with Dwelling	14,950 Sq. Ft.

Zoning

Compliance	Legal
Classification Code	R10
Classification Code Description	Residential - 10 Dwelling Units per Acre

Property Access

Primary Access	Public Street
Street Type and Surface	Asphalt Local Road
Typical for Market	Yes

Site Influence

Influence	Proximity	Detail	Impact	Comment
Residential				Typical residential subdivision

View and Impact to Value/Marketability

View	Range of View	Impact
(Primary) Residential	Full	Neutral

Site Features and Impact to Value/Marketability

Feature	Detail	Impact	Comment
Hazard Zone	No Hazard Zone Noted		
Site Characteristic	Topography | Rolling	Adverse	Steep grade is less marketable.

Utilities and Impact to Value/Marketability

Broadband Internet Available Yes

	Public	Private	Detail	Private Utility Impact	Comment
Electricity	✓				
Gas	✓				
Sanitary Sewer	✓				
Water	✓				
	Public	Public			

Apparent Defects, Damages, Deficiencies (Site)

None

Site Valuation Methodology

#	Address	County	Data Source	Assessor Parcel Number (APN)	Site Size	Sale Date	Price
			Physical Measurement				
			Real Estate Agent				
			MLS				
			Assessor Record				
			Exterior Inspection				
			MLS 123456				
			MLS 33A245				
			MLS 678A12				

Site Commentary

Classification Code R10

Site *(continued)*

Site Exhibits

Property Access (Street Scene)

This is where the Property Access photo would display.

Energy Efficient and Green Features

Known Renewable Energy Components	None
Known Building Certifications	None

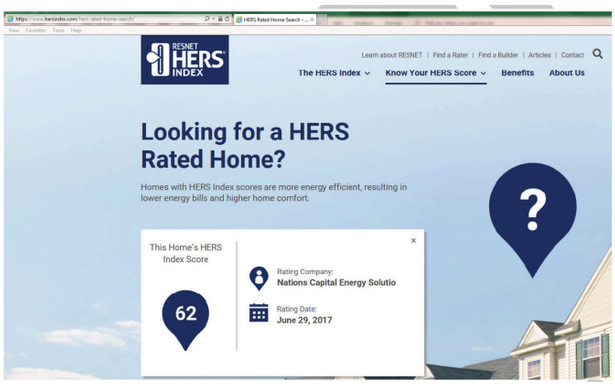
Green/Energy Efficiency Rating Organization	Rating	Score
RESNET	HERS	62

Energy Efficient and Green Features Impact to Value/Marketability

Impact to Value/Marketability	Neutral

Energy Efficient and Green Features Exhibits

RESNET HERS Score



Sketch

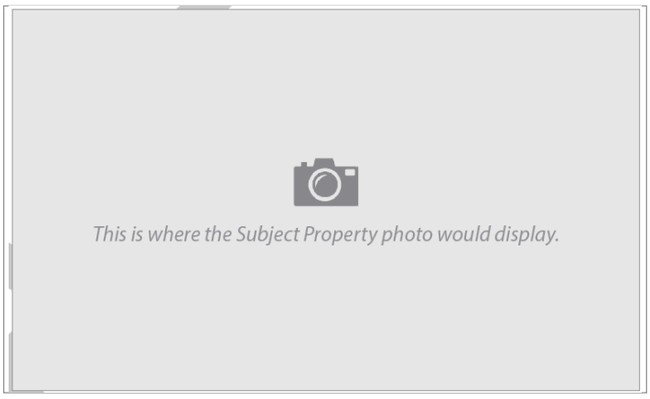
Measurement Standard	ANSI

Sketch *(continued)*

Property Photo
Dwelling Front
Property Access
Sales Comparable Map
Dwelling Rear
Dwelling Front
Absorption Rate
Median Days on Market
Price Trend
Year Built of Sales

Dwelling Exterior

Subject Property Units in Structure	1
Dwelling Style	Colonial
Front Door Elevation	3-4 Ft.
Year Built	2004
Construction Method	Site Built
Converted Area	None



Quality and Condition

Exterior Quality Rating	Q4	**Exterior Condition Rating**	C4

The table below supports the Exterior Quality and Condition ratings and reflects the market value condition of this report

Exterior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Exterior Walls and Trim			Typical Wear and Tear	Minor cracks to vinyl typical for age.
Foundation	Poured Concrete | Basement		Typical Wear and Tear	Minor cracks to vinyl typical for age.
Roof	10-20 years | Composition		Typical Wear and Tear	Minor cracks to vinyl typical for age.
Windows			Typical Wear and Tear	Minor cracks to vinyl typical for age.

Mechanical System Details

	System	Detail
Heating	Forced Warm Air	Natural Gas
Cooling	Centralized	

	Yes	No
Core Heating System Below Grade	☑	☐

Other Mechanical Systems	Sump Pump
	Water Heater

Dwelling Exterior Commentary

Condition Status is reflective of noted repair having been completed.

Unit Interior

Area Breakdown	
Finished Above Grade	3,002 Sq. Ft.
Finished Above Grade (Nonstandard)	0 Sq. Ft.
Unfinished Above Grade	0 Sq. Ft.
Finished Below Grade	1,300 Sq. Ft.

Levels in Unit	3
Occupancy	Owner
Total Bedrooms	5
Total Bathrooms - Full	3
Total Bathrooms - Half	1

Unit Interior *(continued)*

Finished Below Grade (Nonstandard)	0 Sq. Ft.
Unfinished Below Grade	230 Sq. Ft.
Below Grade Finish Compared to Above	Similar

	Yes	No
ADU	☐	☑

Level and Room Detail

Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level B1	Interior and Exterior Access Walk Out Partially Below Grade		1,300 Sq. Ft. 230 Sq. Ft.	
Level 1				
Level 2				
				Bath - Half
				Wet Bar

Quality and Condition

Interior Quality Rating Q4 **Interior Condition Rating** C4

The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report

Kitchen and Bathroom Details

Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Level B1 Bath - Half	Fully Updated	5-10 years	Ceramic flooring.	Typical Wear and Tear	Half bath newer than rest of house.
Wet Bar					

Overall Update Status for Bathrooms Moderately Updated

Interior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring				
	Carpet	Throughout all bedrooms and living areas.	Damaged and Functional	Original carpet, stained in one corner in the Dining Room.
	8 Ft.			
	Cathedral			

Overall Update Status for Flooring Not Updated

Accessibility Features for Individuals with Disabilities

Feature	Comment
Shower	The shower has been modified.

Unit Interior Commentary

The below grade area has a custom finished wet bar including wood cabinets and countertops. Media room has custom cabinetry for speakers and media devices.

Unit Interior ***(continued)***

Unit Interior Exhibits



This is where the Half Bathroom photo would display.



This is where the Media Room photo would display.



This is where the Recreation Room photo would display.



This is where the Wet Bar photo would display.



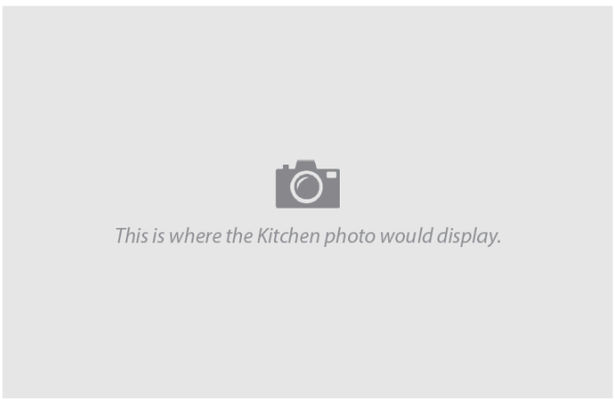
This is where the Family Room photo would display.

Bath 3



This is where the Full Bath photo would display.

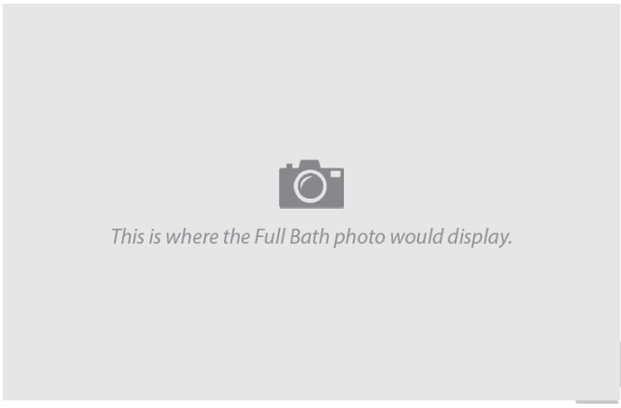
Unit Interior *(continued)*



Bath 1



Bath 2



Functional Obsolescence

Functional Issues None

Vehicle Storage

Driveway

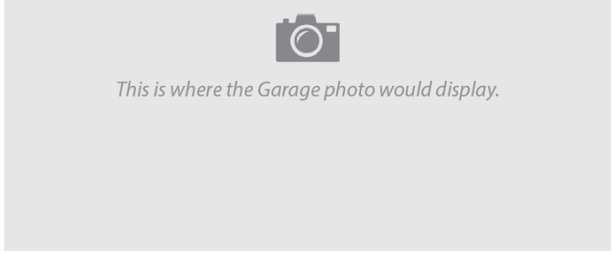
Storage	Number of Parking Spaces	Detail
Driveway	2	Asphalt

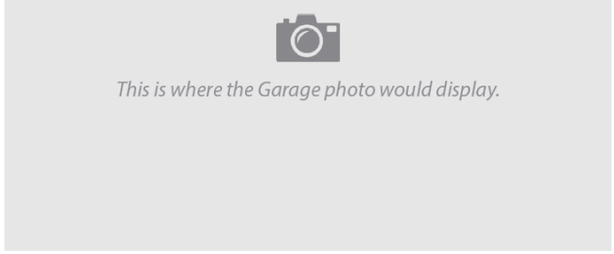
Apparent Defects, Damages, Deficiencies (Vehicle Storage)

None

Vehicle Storage *(continued)*

Vehicle Storage Exhibits





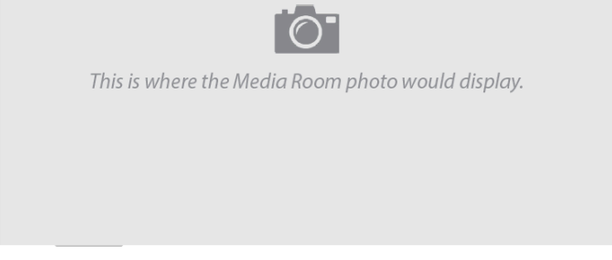
Subject Property Amenities

Amenity Category	Subject Property Amenity	Material	Detail
Outdoor Accessories			
Outdoor Living			
Whole Home			
Miscellaneous			
	Fence		
	Deck	Wood	
	Porch	Concrete	
	Indoor Fireplace		
	Media Room		
	Wet Bar		

Apparent Defects, Damages, Deficiencies (Subject Property Amenities)

None

Subject Property Amenities Exhibits



Overall Quality and Condition

Overall Quality	Q4	**Overall Condition**	C4
Exterior Quality	Q4	Exterior Condition	C4
Interior Quality	Q4	Interior Condition	C4

Overall Quality and Condition *(continued)*

Reconciliation of Overall Quality and Condition

The Overall Quality and Condition matches the Interior Quality and Condition, as well as the Exterior Quality and Condition, since the exterior and interior are both of the same age.

Highest and Best Use

Legally Permissible	Yes	**Financially Feasible**	Yes
Physically Possible	Yes	**Maximally Productive**	Yes

Yes

Highest and Best Use Commentary

The highest and best use analysis as improved is physically possible and legally permissible based on its current zoning. Analysis of the market shown below demonstrates that the existing structure as a single family residence is its financially feasible and maximally productive use.

Market

Market Area Boundary North: E. Grant Highway, South: E. Temple Ave., East: Chicken Rd., West: 10 Main Ave.

Search Criteria Description Search Criteria limited by Detached units with a lot size of up to .6 acres and Finished Above Grade Area between 2700 and 3300 sq. ft. Additional factors include between 2-4 full bathrooms, 3-5 bedrooms, a basement and a 2 car garage. Searched between closing dates of 9/30/2017 and 9/30/2019.

Search Result Metrics

Active Listings	2	**Sales in Past**	24
Median Days on Market	11	Months	35
Lowest List Price	$435,000	Lowest Sale Price	$400,000
Median List Price	$440,000	Median Sale Price	$499,000
Highest List Price	$445,000	Highest Sale Price	$597,000
Pending Sales	1	**Distressed Market Competition**	No
		Graph	Property Photo
			Dwelling Front
			Property Access
			Sales Comparable Map
			Dwelling Rear
			Dwelling Front
			Absorption Rate
			Median Days on Market
			Price Trend
			Year Built of Sales

Housing Trends

Demand/Supply	Shortage	**Marketing Time**	Under 3 months

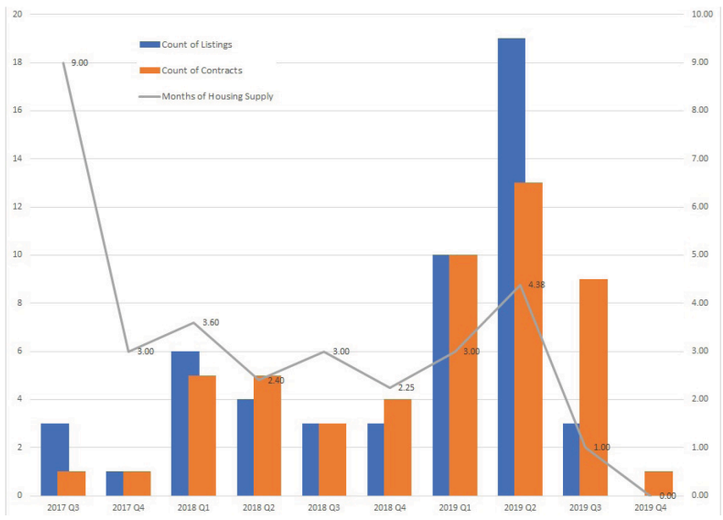
Market Commentary

Despite lack of supply, homes are not going up in value due to seasonality. This is typical for 3rd quarter, evidenced by the fact that there are only 2 active listings, which have less finished area than the subject and not indicative of prices decreasing.

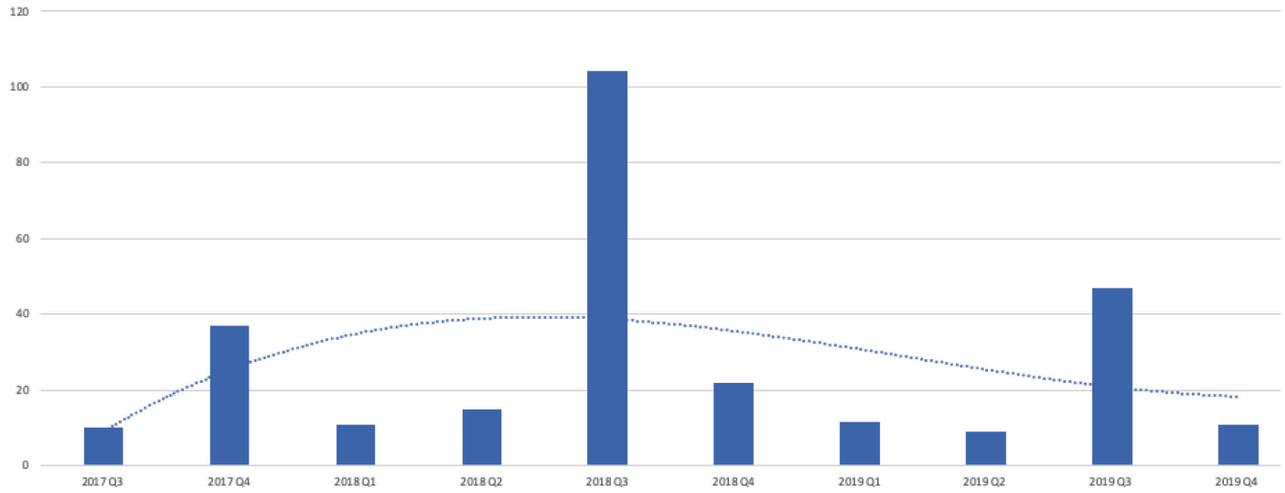
Market *(continued)*

Market Exhibits

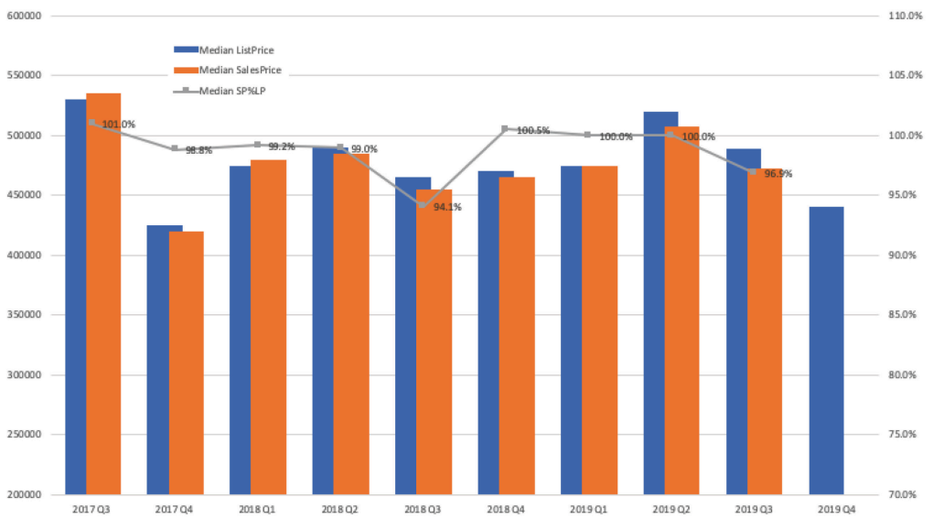
Absorption Rate



Median Days on Market

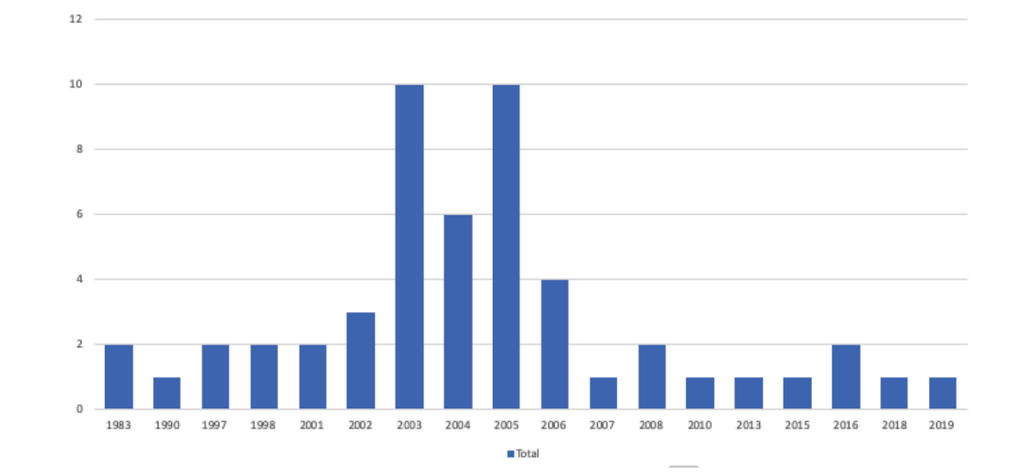


Price Trend



Market *(continued)*

Year Built of Sales



Project Information

Planned Unit Development (PUD)	☑	☐	Condominium	☐ ☑
			Cooperative	☐ ☑
			Condop	☐ ☑

Project Information Data Source	Physical Measurement
	Real Estate Agent
	MLS
	Assessor Record
	Exterior Inspection
	MLS
	MLS
	MLS
Mandatory Fees (HOA, PUD, or Co-op)	
Monthly Amount	$34
Common Amenities/ Services Included	Trash Removal
Utilities Included	None

Project Factors and Impact to Value/Marketability

Project Factor	Detail	Impact	Comment
Developer/Sponsor in Control	No		
Known Legal Actions	None		
Unit Transfer Fees	$34		
Unit Special Assessments	None		
Unit Tax Abatements or Exemptions	None		

Subject Listing Information

Current and/or relevant listings of the subject property (minimum 1 year look back)

Data Source	Physical Measurement
	Real Estate Agent
	MLS
	Assessor Record
	Exterior Inspection
	MLS
	MLS
	MLS

Listing Status	Listing Type	Listing ID	Start Date	End Date	DOM	Starting List Price	Current or Final List Price
Pending	MLS	FQ999999	09/05/2019	09/17/2019	13	$489,000.00	$489,000.00
					Total DOM		13

Subject Listing Information *(continued)*

The only listing of the subject property in the past year has been for $489,000 for 13 days prior to contract. The contract provided to the appraiser contains no atypical terms or conditions, see Sales Contract section for further analysis.

Sales Contract

	Yes	No
Is there a sales contract?	☑	☐
Was sales contract information analyzed?	☑	☐

Non-Arm's Length Commentary Yes

Personal property is not included in the appraiser's final opinion of value

Contract Price	$489,000
Contract Date	09/17/2019
Transfer Terms	Typically Motivated
Personal Property Conveyed	Yes

Financial Sales Concessions

Financial assistance paid by or on behalf of the seller as an inducement to purchase the subject property

Total Sales Concessions	$5,000
Typical for Market	Yes
Total Sales Concessions	$5,000

Sales Contract Analysis

$5,000 concession towards repair of the carpet. Window treatments, washer and dryer, and media room projector conveyed per sales contract.

Prior Sale and Transfer History

Subject Transfer History

Prior sales and/or transfers of the subject property (minimum 3 year look back)

Prior Sales or Transfers	None
Data Source	Physical Measurement
	Real Estate Agent
	MLS
	Assessor Record
	Exterior Inspection
	MLS
	MLS
	MLS

Transfer Terms	Date	Amount	Data Source
			Physical Measurement
			Real Estate Agent
			MLS
			Assessor Record
			Exterior Inspection
			MLS
			MLS
			MLS

Analysis of Prior Sale and Transfer History of Subject Property Only prior sale of the subject was when it was a new construction in 2004.

Comparable Transfer History

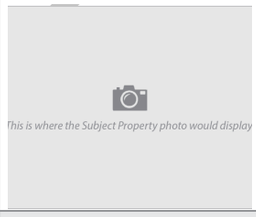
Prior sales and/or transfers of the comparable properties from the 'Sales Comparison Approach' section (minimum 1 year look back)

Prior Sale and Transfer History *(continued)*

#	Transfer Terms	Date	Amount	Data Source
1				
2	None			
3	None			
	Typically Motivated	08/17/2019	$460,000.00	
	Typically Motivated	09/10/2019	$450,000.00	
	Typically Motivated	08/31/2019	$520,000.00	
				Physical Measurement
				Real Estate Agent
				MLS
				Assessor Record
				Exterior Inspection
				MLS
				MLS
				MLS

Analysis of Prior Sale and Transfer History of Comparable Sales Prior sale of comp 1 was a typically motivated arms-length transaction.

Sales Comparison Approach

	Subject Property	Comparable #1		Comparable #2		Comparable #3	
General Information							
Property Address	123 Falling Tree Ct Treeville, VA 12345 	241 Rapid Creek Ln Treeville, VA 12345 		188 Fallen Oak Ct Treeville, VA 12345 		210 Cannon Ball Rd Treeville, VA 12345 	
Data Source	—	Assessor Record | Exterior Inspection | MLS 123456		Assessor Record | Exterior Inspection | MLS 33A245		Assessor Record | Exterior Inspection | MLS 678A12	
Proximity to Subject	—	N 0.17		N 0.06		NE 0.40	
List Price	$489,000	$460,000		$449,900		$525,000	
Listing Status	Pending	Settled Sale		Settled Sale		Settled Sale	
Sale Price	—	$460,000		$450,000		$520,000	
Transfer Terms	—	Typically Motivated		Typically Motivated		Typically Motivated	
Sales Concessions	$5,000	$8,500	$0	$11,000	$0	$10,400	$0
Contract Date	—	07/22/2019	$0	08/05/2019	$0	07/02/2019	$0
Sale Date	—	08/17/2019	$0	09/10/2019	$0	08/31/2019	$0
Days on Market	13		12		6		14
Attached/Detached	Detached	Detached		Detached		Detached	
Property Rights Appraised	Fee Simple	Fee Simple		Fee Simple		Fee Simple	
Site							
Site Size	14,950 Sq. Ft.	17,886 Sq. Ft.	$0	13,038 Sq. Ft.	$0	16,039 Sq. Ft.	$0
Neighborhood Name	Sunnyside	Sunnyside		Sunnyside		Hilldale	$0
Topography	Rolling	Rolling		Rolling		Flat	-$2,000
Site Characteristics	Topography	Topography		Topography		Topography	
Site Influence (Location)	Residential	Residential		Busy Roadway	$5,000	Residential	
View | Range	Full Residential	Full Residential		Full Residential		Full Residential	
Dwelling(s)							
Year Built	2004	2004		2004		2001	$0
Construction Method	Site Built	Site Built		Site Built		Site Built	
Dwelling Style	Colonial	Colonial		Colonial		Colonial	
Heating	Natural Gas Forced Warm Air	Natural Gas Forced Warm Air		Natural Gas Forced Warm Air		Natural Gas Forced Warm Air	
Cooling	Centralized	Centralized		Centralized		Centralized	
Energy Efficient and Green Features							
Efficiency Rating	HERS 62	None		HERS 61		None	
Unit(s)							
Location of ADU	Dwelling	Dwelling		Dwelling		Dwelling	
Bedrooms	5	4	$10,000	4	$10,000	4	$10,000
Baths – Full | Half	3 1	2 1	$10,000	2 2	$5,000	3 1	
Finished Area Above Grade	3,002 Sq. Ft.	3,260 Sq. Ft.	-$10,300	2,804 Sq. Ft.	$7,900	2,816 Sq. Ft.	$7,400
Finished Area Above Grade (Nonstandard)	0 Sq. Ft.	—		—		—	
Unfinished Area Above Grade	0 Sq. Ft.	—		—		—	
Finished Area Below Grade	1,300 Sq. Ft.	0 Sq. Ft.	$26,000	1,200 Sq. Ft.	$2,000	1,328 Sq. Ft.	$0
Finished Area Below Grade (Nonstandard)	0 Sq. Ft.	—		—		—	
Unfinished Area Below Grade	230 Sq. Ft.	1,624 Sq. Ft.	-$13,940	66 Sq. Ft.	$1,640	148 Sq. Ft.	$0
Below Grade Exterior Access	Walk Out	Walk Up	$2,000	Walk Up	$2,000	Walk Out	
Exterior Quality and Condition							
Quality	Q4	Q4		Q4		Q4	
Exterior Walls and Trim	Vinyl	Vinyl		Vinyl		Vinyl	
Roof	Composition	Composition		Composition		Composition	
Condition	C4	C4		C4		C4	
Interior Quality and Condition							
Quality	Q4	Q4		Q4		Q4	
Condition	C4	C4		C4		C4	
Kitchen	Fully Updated	Partially Updated		Not Updated		Not Updated	
Overall Flooring	Not Updated	Not Updated		Not Updated		Not Updated	
ADU Interior Quality and Condition							

Sales Comparison Approach *(continued)*

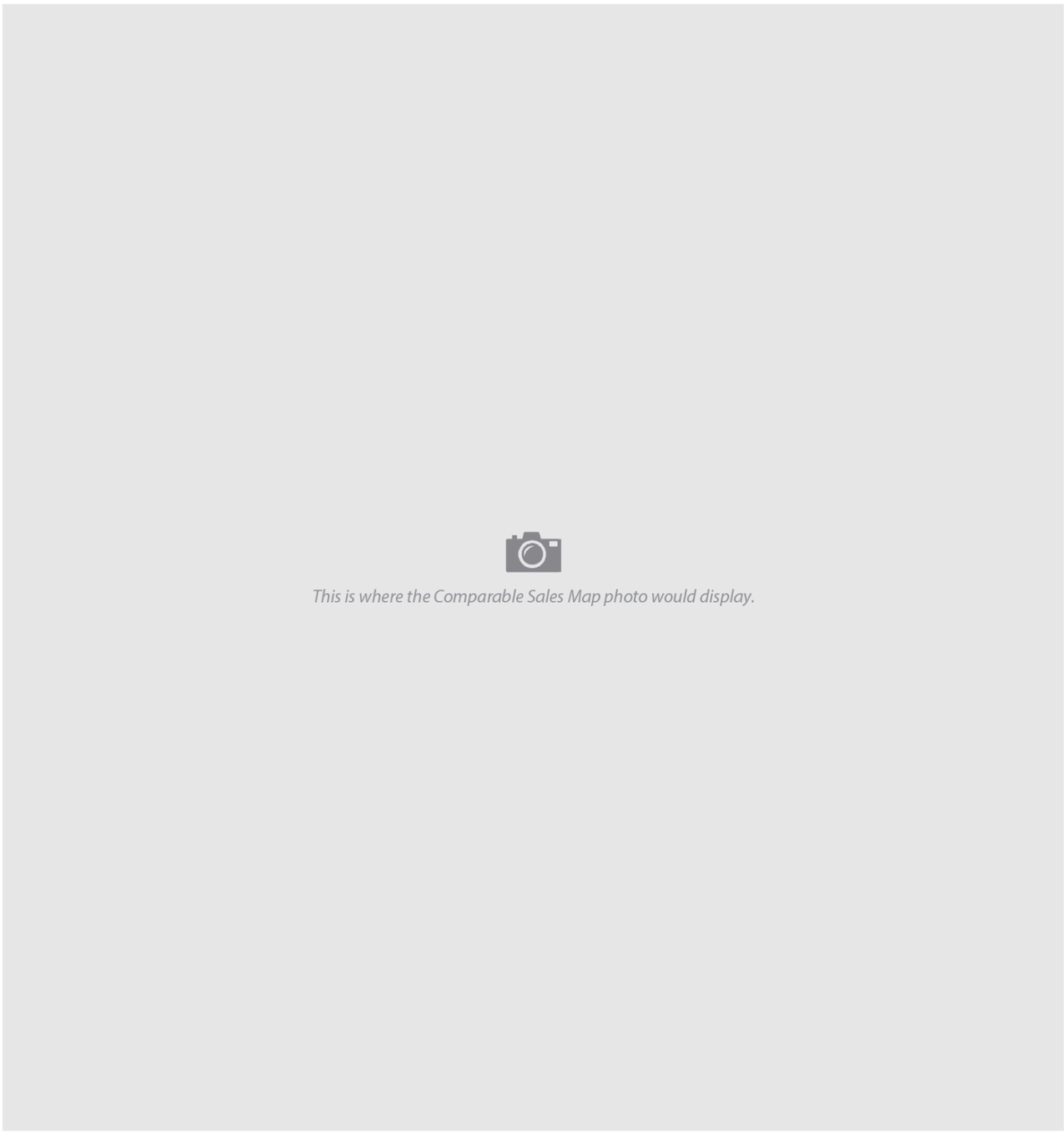
	Subject Property	Comparable #1		Comparable #2		Comparable #3	
Property Address	123 Falling Tree Ct Treeville, VA 12345	241 Rapid Creek Ln Treeville, VA 12345		188 Fallen Oak Ct Treeville, VA 12345		210 Cannon Ball Rd Treeville, VA 12345	
Location of ADU	Dwelling	Dwelling		Dwelling		Dwelling	
Quality	Q4	Q4		Q4		Q4	
Condition	C4	C4		C4		C4	
Kitchen	Fully Updated	Partially Updated		Not Updated		Not Updated	
Overall Flooring	Not Updated	Not Updated		Not Updated		Not Updated	
Overall Quality and Condition (Ratings: 1-6, 1 is highest)							
Quality	Q4	Q4		Q4		Q4	
Condition	C4	C4	-$5,000	C4	-$1,000	C4	-$1,000
Property Amenities							
Outdoor Living	Deck | Porch	Patio | Deck	$6,000	Patio | Porch	$2,000	Deck | Patio	$6,000
Water Features	—	—		—		Inground Pool	-$12,000
Miscellaneous	Media Room | Wet Bar	—	$6,000	—	$6,000	—	$6,000
Vehicle Storage							
Type| Spaces | Detail	Driveway Asphalt 2	Driveway Asphalt 2		Driveway Asphalt 2		Driveway Asphalt 2	
Outbuilding (ADU and vehicle storage are not included in Finished Area, Unfinished Area, or room counts)							
Cooling	Centralized	—		—		—	
Summary							
List Price	$489,000 Pending	$460,000		$449,900		$525,000	
Sale Price	—	$460,000		$450,000		$520,000	
Net Adjustment Total	—	$30,760		$40,540		$14,400	
Price Per Finished Area Above Grade	—	$141		$160		$185	
Adjusted Price	—	$490,760		$490,540		$534,400	
Comparable Weight	—	Most		Most		Less	

Additional Properties Analyzed Not Used

#	Property Address	Sale Date	Status	Reason Not Used	Comment
1	101 Somewhere Ln Treeville, VA 12345		Active	ProximityQuality	Inferior quality and non-similar location
2	955 Black Swan Rd Treeville, VA 12345		Pending	ProximityQuality	Superior quality and located further from subject
3	325 Summit Ct Treeville, VA 12345	08/21/2019	Settled Sale	Proximity	Located further from subject
4	7464 Blank Ln Treeville, VA 12345	06/02/2019	Settled Sale	ProximityFinished Area	Had 5 bedrooms, but because it was larger and farther away, it was not used.
5	8718 Mover Ln Treeville, VA 12345	07/13/2019	Settled Sale	Finished AreaQuality	Property has a media room and wet bar, but is larger and of superior quality.

Sales Comparison Approach *(continued)*

Sales Comparison Map



Reconciliation

Approaches to Value

	Sales Comparison Approach	Income Approach	Cost Approach
Indicated Value	$491,000		
Reason for Exclusion		Not Necessary for Credible Results	Not Necessary for Credible Results

Appraisal Summary

Contract Price	$489,000	**Reasonable Exposure Time**	0-90 days
Opinion of Market Value	$491,000	**Effective Date of Appraisal**	09/20/2019
Market Value Condition	Subject to Repair		

Reconciliation *(continued)*

Final Value Condition Statement This appraisal is made subject to the itemized list of repairs recommended below on the basis of a hypothetical condition that the repairs or alterations have been completed in a professional manner. This might have affected the assignment results.

Reconciliation of Market Value

Utilize this subsection for additional commentary as required by USPAP.

Apparent Defects, Damages, Deficiencies

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action	Estimated Cost to Repair
Dwelling Exterior					
Roof	Section of Roof	Roof is significantly worn and has damaged flashing, but no apparent active leaks.	Yes	Repair	$1,500
				Total Cost	**$1,500**

As Is Overall Condition Rating C5

Existing condition of the property as of the effective date of this appraisal, excluding all required repairs, alterations, or inspections

Supplemental Information

Supplemental Information Exhibits

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the definition of market value or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to Intended Use, Intended User, and the certifications are also not permitted. However, additional Intended Use, Intended User, and certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser's continuing education or membership in an appraisal organization, are permitted.

Scope of Work

The scope of work for this assignment is based on the applicable assignment elements, including: the client and any other intended users, the intended use, the definition of market value that follows, the effective date, the subject property and its relevant characteristics, and the applicable assignment conditions. The appraiser must, at a minimum: (1) obtain and review adequate and reliable information for the subject property; (2) research, verify, and analyze adequate and reliable data for the subject market area including data for each comparable property reported; and (3) report his or her analyses, opinions, and conclusions in this appraisal report.

Intended Use

The intended use of the opinions and conclusions contained in this appraisal report is for the intended user to evaluate the property that is the subject of this appraisal for a mortgage finance transaction or related activities.

Intended User

The intended user of this report is the lender/client.

FHA and the Mortgagee are the intended users of this report.

The USDA and any other identified lender/client are intended users of this report.

The VA is also an intended user of this report.

Definition of Market Value

The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale with the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

Supplemental Information *(continued)*

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for costs that are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable because the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third-party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar-for-dollar cost of the financing or concession, but the dollar amount of any adjustment should approximate the market's reaction to the financing or concessions based on the appraiser's judgment.

Statement of Assumptions and Limiting Conditions

The appraiser assumes that the title is good and marketable unless he or she becomes aware of information to the contrary.

If the appraiser has included a sketch or floor plan in this appraisal report, it shows the approximate dimensions and is included only to assist the reader in visualizing the property and understanding the appraiser's determination of its size.

The appraiser has relied on data provided by third parties in this appraisal report. Such data may include, but is not limited to, floor plans, flood maps, multiple listing real estate services, tax assessment records, public land records, satellite imagery, virtual street views, property data services, surveys, engineering reports, and property data aggregations. After examination of the data and data sources, the appraiser has used only the data he or she considers reliable. The appraiser assumes there are no material omissions in the data relied upon and makes no guarantees, express or implied, regarding their accuracy. If the source date is prior to the effective date of the appraisal, the appraiser assumes the property characteristics and supporting information have not changed in the interim.

The appraiser will not be required to give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.

The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) that the appraiser became aware of during the development of this appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and assumes that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.

Certifications

Appraiser Certifications

The Appraiser certifies and agrees that:

I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

I did not base any part of my appraisal on the actual or perceived race, color, religion, sex (including sexual orientation or gender identity), age (other than as applicable for legally age-restricted communities), marital status, disability, familial status, or national origin of the present or prospective owners or occupants of either the subject property or properties in the area of the subject property or on any other basis prohibited by the Fair Housing Act or the Equal Credit Opportunity Act, or any other basis prohibited by law.

I stated in this appraisal report my own personal, unbiased, and professional analyses, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.

I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.

I meet the credential requirements for this assignment as of the date of this appraisal report and have knowledge and experience in appraising this type of property in this market area.

I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records, and other such data sources for the area in which the property is located.

I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.

I personally performed an onsite inspection of the interior and exterior areas of the subject property. I reported the readily observable condition of the improvements in factual, specific terms. I identified and reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I personally performed an inspection of the exterior areas of the subject property from at least the street. I reported the readily observable condition of the improvements in factual, specific terms. I reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

Certifications *(continued)*

I did not personally perform an onsite inspection of the subject property as part of this appraisal assignment. I reported the condition of the improvements in factual, specific terms, relying on subject property information data sources I considered reliable. I reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

Using information available in the normal course of business, I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal.

Using information available in the normal course of business, I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale.

I based my valuation on the available properties that are most similar to the subject property.

I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.

I have identified the differences between the subject and comparable properties, analyzed the market reaction to those differences, and reflected those differences in the analysis.

To the extent possible, I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.

I have taken into consideration the factors that have an impact on value with respect to the subject property, and its location, including its proximity to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that I became aware of during the development of this appraisal. I have considered these adverse conditions in my analysis of the property value and have reported on the effect of the conditions on the value and marketability of the subject property.

I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.

My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analyses supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).

I personally prepared all conclusions and opinions about the real estate that were set forth in this appraisal report. No one provided significant real property appraisal assistance.

Andrew Appraiser

I personally prepared conclusions and opinions about the real estate that were set forth in this appraisal report.

provided significant real property appraisal assistance in the development of this report. I certify that any individual so named is qualified to perform the assistance.

I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.

I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.

I am aware that any disclosure or distribution of this appraisal report or any of its contents by me or by the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.

The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions. Any of the foregoing persons or entities who receive this appraisal report may choose to store, copy, reproduce, analyze, use and distribute the data in the appraisal report for internal or external purposes without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media). A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government sponsored enterprises, and other secondary market participants may choose to rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties. A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable

Certifications *(continued)*

federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.

I have not performed any service regarding the subject property within the three years preceding the agreement to perform this assignment.

I have performed services regarding the subject property within the three years preceding the agreement to perform this assignment.

Supervisory Appraiser Certifications

The Supervisory Appraiser certifies and agrees that:

I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

I directly supervised the appraiser for this appraisal assignment, have read the appraisal report, and agree with the appraiser's analyses, opinions, statements, conclusions, and the appraiser's certification.

The assignment information regarding the scope of inspection by the Supervisory Appraiser is correct.

I accept full responsibility for the contents of this appraisal report including, but not limited to, the appraiser's analyses, opinions, statements, conclusions, and the appraiser's certification.

The appraiser identified in this appraisal report is either a subcontractor or an employee of the supervisory appraiser (or the appraisal firm), is qualified to perform this appraisal, and is acceptable to perform this appraisal under the applicable law.

This appraisal report complies with the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

Signature

[Role] Appraiser

Level	Certified Residential
ID	XYZ12345
State	VA
Expires	10/10/2020

09/20/2019

[Contact Name] Agatha Appraiser

Date of Signature and Report